

BEFORE
THE FEDERAL MARITIME COMMISSION

DOCKET NO. 23-01

SAMSUNG ELECTRONICS AMERICA, INC.
Complainant

VS.

SM LINES CORPORATION
Respondent

**SM LINE CORPORATION'S SUR-REPLY IN OPPOSITION TO SAMSUNG
ELECTRONICS AMERICA'S MOTION TO COMPEL AND FOR SANCTIONS FOR
SPOILIATION OF EVIDENCE**

SM Line Corporation ("SM Line"), through undersigned counsel, respectfully submits this Sur-Reply in further Opposition to Samsung Electronics America, Inc.'s ("SEA") Motion to Compel and for Sanctions for Spoliation of Evidence ("Motion"). This Sur-Reply is submitted in response to Complainant's Reply in Further Support of its Motion to Compel and for Sanctions for Spoliation of Evidence (Reply)¹.

A) SM Line effectively collected and preserved the evidence.

In the Reply, SEA seems to suggest that there is a distinction, let alone a significant one, between a party's duty to collect and duty to preserve evidence under Fed. R. Civ. P. 37. Unfortunately for SEA, the distinction is fiction and courts have consistently used the terms interchangeably, even

¹ Capitalized terms not otherwise defined have the same meaning as in SM Line Corporation's Response in Opposition to Samsung Electronics America's Motion to Compel and for Sanctions for Spoliation of Evidence.

as synonyms.² In the context of discovery, where courts have held that the fact that a party collected evidence was sufficient to defeat an allegation of negligence in preserving said evidence.³

The statement contained in SEA's Reply—that SM Line's counsel would not have issued a litigation hold to SM Line at any point—is just another example of the multiple false statements made by SEA in their papers. On the very first page of SM Line's Opposition, it is alleged that SM Line consulted with the undersigned counsel immediately after receiving the Complaint and that, pursuant to that consultation, SM Line began providing a series of written communications to and held meetings with its managers and employees directed to collect documentation relevant to SEA's claims or transactions involving SEA. The result of SM Line's search and review resulted in the production of approximately 53,000 documents. On page 2, the Opposition specifically states that the document collection “was initiated pursuant to the request of the undersigned counsel for SM Line.” Those instructions by counsel fit squarely within the requirements set by Fed. R. Civ. P. 37(e) which demand that a party take “reasonable steps” to preserve evidence.

B) SM Line's duty to preserve evidence arose for the first time on April 19, 2023

In its Reply, SEA properly states that “there is no set formula for determining when litigation becomes reasonably foreseeable” in the context of assessing the inception of a party's obligation to preserve evidence. Because there is no set formula, SM Line thoroughly reviewed the cases cited by SEA in their Opposition for any support to SEA's statement that SM Line's obligation to preserve evidence began in September 2022, at the time SM Line received SEA's demand letter. The cases provided no support. SM Line has addressed this issue exhaustively in its Opposition but, by way of summary, SM Line submits that:

² See *Fashion Exch. LLC v. Hybrid Promotions, LLC*, No. 14-CV-1254 (SHS), 2021 WL 1172265, at *6 (S.D.N.Y. Mar. 29, 2021); *Am. Lecithin Co. v. Rebmann*, No. 12-CV-929 (VSB) (JW), 2023 WL 7160729, at *5 (S.D.N.Y. Oct. 31, 2023); *Eur. v. Equinox Holdings, Inc.*, 592 F. Supp. 3d 167, 175 (S.D.N.Y. 2022);

³ See *Da'Vage v. D.C. Hous. Auth.*, No. CV 21-1318 (RDM), 2023 WL 4531768, at *4 (D.D.C. July 12, 2023), appeal dismissed sub nom. *Da'vage v. D.C. Hous. Auth.*, No. 23-7101, 2023 WL 9422337 (D.C. Cir. Dec. 20, 2023).

1. SEA could have alerted SM Line to preserve evidence in the demand letter, but chose not to do so. A similar alert was used by courts to determine the inception of the obligation to preserve evidence.⁴
2. SEA could have sent the letter to SM Line via their outside counsel, but chose not to do so.
3. SEA could have undertaken its alleged intentions to seek “immediate legal action,” but didn’t. On the contrary, SEA left the open the possibility to seeking reparations before the FMC, but also indicated that an out of court settlement was the preferred outcome. Indeed, SEA didn’t file suit until six months after the demand letter, which hardly suggests that intention to file a suit was anywhere near “immediate.”

The Demand Letter was not sufficient to trigger an obligation on SM Line to preserve evidence because it lacked all the requirements that the case law proposed by Claimants considered key when establishing the inception of such obligation. In their Reply, SEA has not offered a single authority that actually supports their claim that SM Line was subject to an obligation to preserve evidence from the time it received the Demand Letter. As a consequence, this Court should find that SM Line only became subject to the obligation to preserve evidence on April 19, 2023. Further, by that date, all or substantially all communications to and from SM Line employees in Korea dated up to and until January 19, 2023 had already been deleted pursuant to SM Line’s longstanding document retention policy.

C) SEA has the burden of proving that the evidence existed and that it was relevant to its claim

The caselaw interpreting Fed. R. Civ. P. 37 makes it clear that the party that seeks sanctions bears the burden to prove that: (a) the ESI existed, (b) it was destroyed with a culpable state of mind, and (c) that a reasonable trier of fact would have considered such evidence favorable to the moving party.⁵

SEA, therefore, bears the burden to show that SM Line had evidence that this Court would consider favorable to SEA, and that SM Line destroyed such evidence with a culpable state of mind.

⁴ *Zhi Chen v. D.C.*, 839 F. Supp. 2d 7, 11(D.D.C. 2011).

⁵ *Klipsch Grp., Inc. v. ePRO E-Com. Ltd.*, 880 F.3d 620, 628 (2d Cir. 2018).

Other than falsely alleging that “[SM Line] never suspended its email deletion policy, and its counsel never sent a litigation hold at any point,” SEA has not demonstrated that SM Line improperly destroyed certain documents that SEA knows exist and asked for.

SEA’s statement that “SM Line does not dispute that [...] all decisions to assess and collect at least \$14,500,000 of SEA’s direct damages were made by individuals in Korea [...]”⁶ is flat out false.

In its Opposition, SM Line outlined in detail why the communications to and from SM Line employees in the Korean office for the years 2020 through 2022 were irrelevant, if not immaterial, for the subject claims. In short, pursuant to the Demurrage and Detention Management and Procedure, the Korean headquarters would only be involved with demurrage and detention charges upon receiving a request for a discount or for an inactivation of those charges.⁷ Without a request for a discount or inactivation to review, the Korean headquarters of SM Line would simply not get involved with the charges issued by SM Line’s US office in Arizona. As a result, none of the charges leading to the \$14,500,000 that SEA is claiming in this action was reviewed, approved, or rejected by SM Line’s employees in Korea. Let alone “assess[ed] and collect[ed]”. SEA failed to provide a single example in which SEA requested an inactivation or a discount in connection with the demurrage and detention charges SEA paid to SM Line up until the Demand Letter dated September 2022. As a result, SEA has failed to satisfy its own burden of showing that the SM Line employees in Korea were in possession of ESI relevant to SEA’s claims, such that this Court would find it supportive of SEA’s claim.

For the foregoing reasons, and for the reasons expressed in the Opposition, Complainant’s Motion to Compel should be DENIED.

⁶ Complainant’s Reply in Further Support of its Motion to Compel and for Sanctions for Spoliation of Evidence, p. 5.

⁷ See Exhibit 8 to the Motion, SM Line Demurrage and Detention Management and Procedure, p. 6, 18 (Bates N. SM Line_0110085, SM Line_0110097).

Dated: April 29, 2024

Respectfully submitted

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 29th day of April 2024, the foregoing document was served via electronic mail on:

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Federal Maritime Commission
Presiding Administrative Law Judge
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